

Avenue Supermarts Ltd

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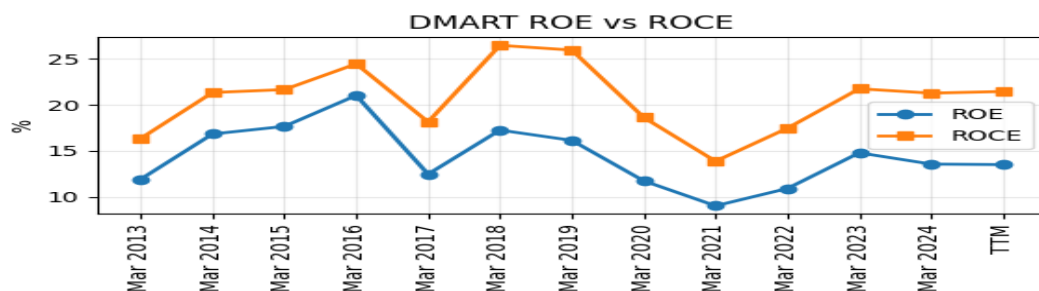
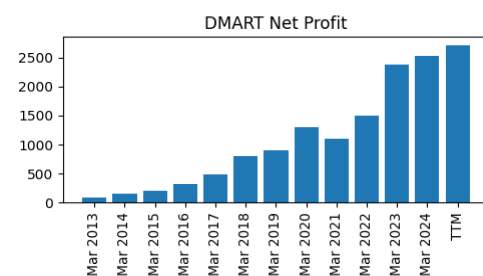
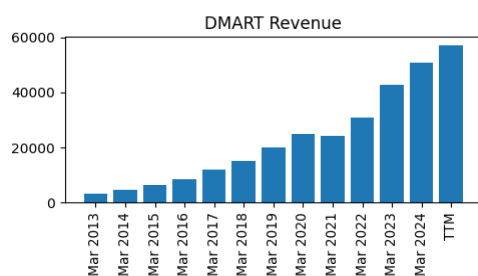
Key Financial Metrics

ROE 13.51%	ROCE 21.47%	Debt / Equity 0.04
Revenue CAGR 28.07%	FCF Conversion 108.28%	Quality Score 53.99

Company Profile

Company	Avenue Supermarts Ltd
Sector	Consumer Discretionary
Industry	Retail
Market Cap (■ Cr)	3,053,088.97
P/E Ratio	72.53
P/B Ratio	11.71
Dividend Yield	1.94%

Financial Performance



AI Investment Summary

Avenue Supermarts Ltd demonstrates average financial performance with a few areas requiring monitoring. It currently has moderate profitability, strong capital efficiency, rapid revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 54.0/100. Key strengths include: Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Strong free cash flow generation over 5 years signals healthy business fundamentals.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.. Key risks include: Weak operating margins suggest limited pricing power and lower cash generation.. Investment recommendation: Hold. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
• Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. • Net profit compounding at above 20% over 5 years creates significant shareholder value. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• Weak operating margins suggest limited pricing power and lower cash generation.

Investment Recommendation

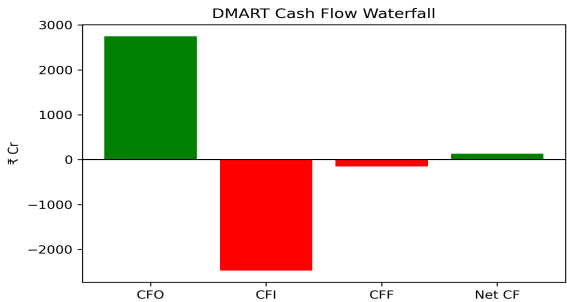
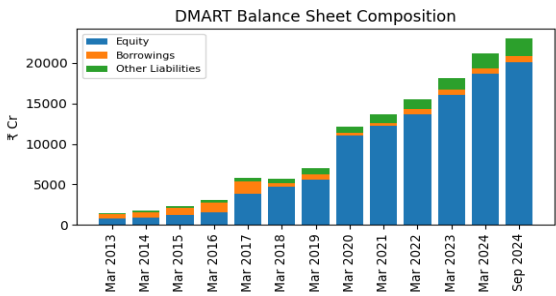
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 56.0/100, supported by 5 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 56.0

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
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Growth	Strong
Cash Flow	Strong
Leverage	Strong
Valuation	Expensive

Capital Allocation

Shareholder Returns